

Accounting & Finance Playbook

A practical knowledge base your AI Mentor can use to explain, diagnose, and improve fashion brand finances.

What this PDF is for

Turn messy money conversations into clear decisions.

Teach founders how the Income Statement and Statement of Financial Position work (and how they connect).

Explain the most useful liquidity, profitability, and efficiency ratios — with when to use each.

Give an “AI mentor” diagnostic flow: what to ask, what to calculate, what to fix first.

Ruthless mentor promise

If the numbers don't support the story, the mentor should say so.

If margins are thin, the mentor should stop founders from “marketing harder” and force a pricing/COGS fix.

If cash is tight, the mentor should prioritize working capital, not “growth hacks”.

Audience: early-stage fashion brand owners (D2C, preorders, small batches).

How to use: ask the input checklist → build the statements → compute ratios → pick 1-3 fixes → create a 30-day plan.

1) Finance basics for fashion brands

Most brands fail from math before they fail from “marketing”. Fashion has three killers: inventory, returns, and thin margins. Accounting is the language that exposes which killer is currently choking you.

Term	Meaning	Why it matters for a fashion brand
Bookkeeping	Recording transactions (sales, costs, payments).	If this is messy, every “strategy” is guesswork.
Accounting	Turning records into statements, rules, and decisions.	Tells you profit, cash needs, and whether you can scale.
Cash vs accrual	Cash: record when money moves. Accrual: record when value is earned/incurred.	Accrual shows true profitability; cash shows survival.
COGS	Cost of Goods Sold — direct cost to produce items sold.	Your gross margin lives here. If COGS is wrong, everything is wrong.
Contribution margin	Profit after variable costs (COGS + shipping + payment fees + returns).	Best number to protect when running promotions.
Working capital	Cash tied in inventory + receivables minus payables.	Explains why you can be “profitable” and still broke.

Fashion-specific truth

Revenue is not cash. Orders can look great while cash dies in inventory, delayed payouts, and returns.

Growth increases cash burn if you pay factories upfront and get paid later.

Discounts are not marketing. They are a finance decision: you are trading margin for speed.

2) The two core financial statements (and how they connect)

You asked for two statements. Here's the clean mental model:

The connection in one sentence

Income Statement explains performance over time (profit). Statement of Financial Position explains what you own/owe at a point in time (assets, liabilities, equity). Profit flows into equity (retained earnings).

Statement	What it answers	Used when	Common founder mistake
Income Statement (P&L;)	Did we make profit this month/quarter? Where did it come from?	Pricing decisions, promo decisions, cost control, product line choices.	Confusing revenue with profit; ignoring returns and shipping.
Statement of Financial Position (Balance Sheet)	What do we own and owe right now? Are we solvent?	Inventory planning, cash planning, supplier negotiation, funding decisions.	Thinking "profit" means "cash in the bank".

Quick rules:

- If you're losing money: start with the Income Statement (pricing/COGS/overheads).
- If you're profitable but broke: start with the Statement of Financial Position (inventory + payables + payout timing).
- If you're scaling: you need both, plus a simple cash plan (working capital).

3) Statement of Financial Position (Balance Sheet)

A snapshot of the business. It must always balance:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

Section	Fashion examples	Why it matters
Current Assets	Cash, marketplace payouts pending, inventory, fabric stock, receivables.	Shows near-term survival. Inventory is cash wearing clothes.
Non-Current Assets	Sewing machines, printing equipment, store fit-out, website/ERP (capitalized).	Useful but not liquid. Don't confuse with cash.
Current Liabilities	Supplier payables, rent due, payroll, taxes due, customer deposits (preorders).	Near-term obligations. Payables can fund growth; uncontrolled can kill trust.
Non-Current Liabilities	Loans, long-term lease obligations.	Impacts risk and ability to invest.
Equity	Owner capital + retained earnings (profit kept).	Proof the business created value over time.

Inventory reality (read this twice)

Inventory is an asset until it becomes a problem.

On the Balance Sheet, inventory looks “good”. In real life, slow inventory becomes discounts → low profit → cash loss.

If your inventory is rising faster than sales, your cash is silently leaking.

Mini example (simplified):

Assets	EGP	Liabilities + Equity	EGP
Cash	40,000	Supplier payables	30,000
Inventory (sellable)	120,000	Customer deposits (preorders)	10,000
Equipment	60,000	Owner equity	180,000
Total Assets	220,000	Total L+E	220,000

When to use the Balance Sheet

Before a production order: check cash + inventory + payables.

Before a sale/discount: check how much cash is trapped in slow stock.

Before opening retail: check whether you can survive fixed costs for 3-6 months.

4) Income Statement (Profit & Loss)

Performance over a period. For fashion, your P&L; must separate COGS, variable selling costs, and fixed overheads.

Line	What to include	Mentor comment
Net sales (Revenue)	Sales minus refunds/returns, minus discounts.	Track gross and net. Returns hide in the gap.
COGS	Fabric, trims, cut & sew, printing/embroidery, packaging if per-unit.	If you don't know COGS per SKU, you're gambling.
Gross profit	Net sales – COGS.	Healthy gross margin gives you room to market.
Variable selling costs	Shipping, payment fees, marketplace fees, COD fees, returns processing.	These decide contribution margin (profit per order).
Operating expenses (fixed)	Rent, salaries, tools, content team, admin, phone, accountants.	Don't "scale" fixed costs before your contribution margin is proven.
Net profit	What's left after everything.	Profit is necessary. Cash is mandatory.

Mini P&L; example (monthly):

Income Statement	EGP
Gross sales	200,000
Discounts	(20,000)
Returns/Refunds	(15,000)
Net sales	165,000
COGS	(85,000)
Gross profit	80,000
Shipping + fees + COD	(18,000)
Contribution profit	62,000
Operating expenses	(50,000)
Net profit	12,000

Ruthless mentor rule

If gross margin is weak, you don't need a "marketing strategy". You need to fix COGS, pricing, or product mix.

If contribution margin is weak, stop discounting and stop running paid ads until the order economics work.

5) Costing, COGS, and inventory accounting (fashion-specific)

COGS is not “what the factory charged”. It’s the full direct cost to deliver one sellable unit.

COGS component	Examples	Notes
Materials	Fabric, lining, rib, buttons, zippers, labels, hangtags.	Include waste/defects if consistent.
Labor / making	Cut & sew, stitching, finishing.	If you pay per piece, it’s COGS.
Decoration	DTF/screen print, embroidery, heat transfer, wash effects.	Track by SKU — prints can double COGS.
Packaging (per unit)	Polybag, box, tissue, stickers.	If per order, you can treat as variable selling cost.
Inbound freight	Shipping fabric to factory, factory to you.	This is part of “landed” product cost.
Duties / import fees	Customs, clearance.	Also part of landed cost.

Standard cost vs actual cost

Standard cost: your best estimate per unit (used for pricing decisions).

Actual cost: what happened after production (used for accuracy).

Your mentor should price using standard cost, then refine with actuals after each drop.

Inventory valuation options (simple):

- Weighted average: good when costs vary and you want simplicity.
- FIFO (first in, first out): common in retail; older inventory assumed sold first.
- Pick one method and stay consistent to compare months.

Inventory danger signals

Inventory rising while net sales are flat or falling.

Discount rate rising month after month.

Cash tight even though P&L; shows profit.

Too many SKUs with low sell-through (dead stock).

6) Cash flow and working capital

You can survive without profit for a while. You cannot survive without cash.

Cash pressure source	What it looks like	Fix ideas
Inventory upfront	You pay fabric/factory now, sell over 30-90 days.	Smaller batches, preorders, fewer SKUs, tighter MOQ negotiation.
Payout delay	Marketplaces pay weekly/monthly; COD settlement takes time.	Shift to faster payout channels; encourage prepaid; track receivables.
Returns + exchanges	You “sell” twice but only get paid once.	Improve sizing/content, quality control, clear policies, exchange-first offers.
Fixed costs creep	Rent + payroll rise before contribution margin is proven.	Keep overhead lean until unit economics are stable.

Working capital formula

Working Capital = Current Assets – Current Liabilities

Positive working capital means you can pay near-term bills. Negative might be fine only if you have fast inventory turns and strong supplier terms.

Efficiency metrics that affect cash:

Metric	Formula	Meaning	Fashion interpretation
DIO (Days Inventory Outstanding)	$\text{Avg Inventory} \div \text{COGS} \times 365$	How long inventory sits.	High DIO = dead stock risk and future discounts.
DSO (Days Sales Outstanding)	$\text{Receivables} \div \text{Net Sales} \times 365$	How long you wait to get paid.	High DSO often means marketplace/COD dependency.
DPO (Days Payables Outstanding)	$\text{Payables} \div \text{COGS} \times 365$	How long you take to pay suppliers.	Higher DPO can fund growth, but don't destroy supplier trust.

7) Liquidity ratios (can you survive the next 30-90 days?)

Liquidity ratios measure short-term safety. They answer: Can you pay your bills without panic?

Ratio	Formula	What it tells you	When to use	Red flag
Current ratio	$\text{Current Assets} \div \text{Current Liabilities}$	Overall short-term cushion.	Monthly check; before big production orders.	< 1.0
Quick ratio (acid test)	$(\text{Cash} + \text{Receivables}) \div \text{Current Liabilities}$	Safety without relying on selling inventory.	When inventory is slow/seasonal.	< 0.7
Cash ratio	$\text{Cash} \div \text{Current Liabilities}$	Pure cash survivability.	During crises; when sales are unstable.	Falling fast
Working capital	$\text{Current Assets} - \text{Current Liabilities}$	Buffer in money terms.	Planning runway; deciding on hiring/retail.	Negative + slow turns
Operating cash flow ratio	$\text{Operating Cash Flow} \div \text{Current Liabilities}$	Whether operations generate enough cash.	Quarterly; after launches.	< 1.0

How the mentor should interpret liquidity (simple)

If current ratio is low but sales are growing: it might be a working capital issue (inventory + payout timing), not “bad marketing”.

If quick ratio is low: don't open retail yet. Don't hire. Fix cash conversion first.

If cash ratio is low: negotiate supplier terms, reduce SKUs, and stop risky production runs.

8) Profitability ratios (are you making real money?)

Profitability ratios answer: Is the business model healthy? For fashion, the most useful are gross margin and contribution margin.

Ratio	Formula	Best used for	Mentor guidance
Gross margin %	$(\text{Gross Profit} \div \text{Net Sales}) \times 100$	Product viability, pricing, supplier negotiation.	If weak: fix COGS or raise price. Don't buy followers.
Contribution margin %	$(\text{Net Sales} - \text{COGS} - \text{variable selling costs}) \div \text{Net Sales}$	Promo decisions, paid ads readiness.	If weak: stop discounts/ads; fix shipping/returns/fees.
Operating margin %	$\text{Operating Profit} \div \text{Net Sales}$	Whether overhead is sustainable.	If falling: overhead grew faster than contribution profit.
Net profit margin %	$\text{Net Profit} \div \text{Net Sales}$	Overall health.	Thin is normal early; negative long-term is not.
Return on assets (ROA)	$\text{Net Profit} \div \text{Total Assets}$	How hard assets are working.	Low ROA often means bloated inventory/equipment.
Return on equity (ROE)	$\text{Net Profit} \div \text{Equity}$	Return to owner capital.	Useful when comparing scaling vs staying small.
GMROI	$\text{Gross Margin \$} \div \text{Avg Inventory Cost}$	Inventory profitability.	Best fashion metric: margin per pound of inventory.

Paid ads readiness test (finance version)

You are ready for paid ads only if:

- 1) You know your contribution margin per order.
- 2) You can afford acquisition cost (CPA) and still be profitable.
- 3) You can fulfill fast and handle returns without collapsing.

9) What “good” looks like by stage

Targets depend on category and country. But founders need a compass. Use this as a starting point — then adjust with real data.

Stage	Main goal	Finance focus	What to avoid
Pre-launch / first drops	Prove demand + learn fast	Know COGS per SKU, track gross margin, keep inventory light.	Large MOQs, too many SKUs, expensive rent.
Early growth	Repeatable sales	Contribution margin per order, returns rate, working capital plan.	Running ads without unit economics; deep discounts.
Scaling	Predictable growth	Operating margin, cash conversion cycle (DIO/DSO/DPO).	Hiring/retail expansion before systems.
Retail / wholesale expansion	Distribution + volume	Inventory turnover, GMROI, payables discipline.	Chasing volume with unprofitable pricing.

Ruthless mentor rules (non-negotiable)

If gross margin is weak → fix product economics before promotion.

If returns rate is high → fix sizing/content/quality before scaling.

If cash is tight → reduce SKU count and inventory, negotiate terms, and stop “growth” spending.

A finance plan must include what you will NOT do this month.

10) AI Mentor diagnostic flow (what to ask first)

Do not give advice blind. Ask these questions, then compute the statements.

Input	What “good” looks like	If missing, the AI should do this
Products & prices	List of SKUs + price per SKU + best sellers.	Pick top 3 SKUs to start; ignore the rest.
COGS per SKU	Materials + making + decoration + inbound freight.	Estimate using last production invoice and a costing sheet.
Sales & returns	Monthly net sales, returns %, discounts %.	Use simple assumptions and mark as hypotheses.
Fulfillment costs	Shipping per order, payment fees, COD fees.	Ask for averages or use conservative ranges.
Operating expenses	Monthly fixed costs (rent, salaries, tools).	Separate “must-pay” vs “nice-to-have”.
Inventory levels	Units and cost by SKU; slow movers identified.	Ask for current stock list; if absent, estimate by purchase history.
Supplier terms	Deposit %, payment timing, MOQ, lead time.	Assume worst-case (pay upfront) until clarified.
Goals	One measurable goal (profit, cash, inventory turns).	Convert vague goals into numbers + deadlines.

High-signal questions (ask these first)

What is your top SKU, its selling price, and its full COGS per unit?

What % of orders get returned or exchanged?

What is your average shipping + payment fee per order?

How much inventory (in EGP) is currently sitting unsold?

If sales stop for 30 days, can you still pay rent + salaries?

11) Worksheets (fill-in-the-blank)

Use these to build statements fast with a founder.

A) Unit economics per order (core)	
Selling price (AOV)	[]
Less: COGS	[]
Less: shipping + packaging + payment fees	[]
Less: returns cost allowance	[]
Contribution profit per order	[]
Contribution margin %	(Contribution ÷ AOV)

B) Monthly P&L; (simple)	EGP
Net sales	[]
COGS	[]
Gross profit	[]
Variable selling costs	[]
Contribution profit	[]
Operating expenses	[]
Net profit	[]

C) Balance Sheet snapshot	EGP
Cash	[]
Receivables (payouts pending)	[]
Inventory (cost)	[]
Equipment (net)	[]
Total Assets	[]
Payables (suppliers)	[]
Customer deposits (preorders)	[]
Loans	[]
Total Liabilities	[]
Equity (Assets – Liabilities)	[]

12) Month-end close checklist (so your numbers are trustworthy)

If your bookkeeping is sloppy, your mentor will produce confident nonsense. Use this simple close every month.

Close checklist (monthly)

- 1) Reconcile sales: gross sales, discounts, refunds/returns.
- 2) Update inventory: units + cost by SKU; record stock write-offs.
- 3) Confirm COGS: include decoration + inbound freight + consistent packaging treatment.
- 4) Reconcile payouts: marketplace receivables, COD settlement, payment fees.
- 5) Categorize expenses: separate variable selling vs fixed overhead.
- 6) Compute ratios: gross margin, contribution margin, current ratio, DIO.
- 7) Write a 1-page memo: what changed, why, and what you will fix next month.

Common data traps

- Counting gross sales as revenue while ignoring refunds.
- Putting shipping and payment fees inside COGS (hides contribution margin).
- Not allocating decoration/print costs per SKU.
- Ignoring inventory write-offs (dead stock).
- Mixing personal spending with business expenses.

13) AI mentor scoring rubric (stress test the finances)

Use this to grade a brand and tell them exactly what is weak.

Area	0-2 (weak)	3-4 (ok)	5 (strong)
COGS clarity	No per-SKU COGS; guessing.	Rough costing for top SKUs.	Accurate COGS per SKU incl. decoration & freight.
Gross margin	Low/unknown; discount-driven.	Stable but thin.	Healthy and improving; product mix managed.
Contribution margin	Negative or unknown.	Positive but fragile.	Positive and strong; promos tested safely.
Inventory control	Too many SKUs; slow movers ignored.	Some tracking; occasional stockouts.	SKU discipline; sell-through tracked; GMROI improving.
Liquidity	Cash stress; late payments.	Some buffer; occasional dips.	Predictable runway; supplier terms planned.
Overhead discipline	Fixed costs rising faster than sales.	Controlled but not optimized.	Overhead justified by contribution profit.
Measurement	No close; no ratios.	Monthly close; basic tracking.	Monthly close + targets + decisions documented.

Final mentor punch

If you can't compute contribution margin per order, you have no right to spend on ads.

If inventory is growing faster than sales, your "growth" is fake — it's stock.

A profitable business with bad cash timing still dies. Fix cash conversion before scaling.

End.

Working Capital Deep Dive

Trade receivables, trade payables, and inventory are the engine room of cash. If you ignore them, you can go bankrupt while “making profit.”

Why this matters

Ruthless mentor rule: Profit is an opinion. Cash is a fact. Working capital tells you how much cash gets trapped in the business as you grow.

Trade receivables & trade payables (the basics)

Term	What it means	Where it appears	Fashion example / note
Trade receivables (Accounts receivable, AR)	Money customers owe you for goods you already delivered. Mostly shows up when you sell on credit (wholesale, corporate, B2B).	Statement of financial position → Current assets	A boutique orders 50 hoodies and pays you 30 days after invoice.
Trade payables (Accounts payable, AP)	Money you owe suppliers for inputs you already received (fabric, trims, packaging, manufacturing).	Statement of financial position → Current liabilities	Factory delivers finished units today; you pay 15/30/60 days later.
Credit terms (Net 7/15/30/60)	The agreed payment window after invoice date (or delivery date).	Contract / invoice; affects AR & AP	Net 30 wholesale is common; DTC is usually instant.
AR aging	Breakdown of unpaid invoices by how overdue they are (0–30, 31–60, 61–90, 90+).	AR sub-ledger / finance report	If most invoices are 60–90+, you will choke on cash even if you're profitable.
Allowance for doubtful accounts	A conservative estimate of AR you might not collect (bad debts).	Income statement (bad debt expense) + balance sheet (reduces AR)	If 2 out of 100 wholesale invoices default, build that into pricing and cash planning.

Receivables: how fast you collect cash

Use **AR turnover** (times per year) and **DSO** (days) to answer: “How long does it take to collect what customers owe us?”

Receivables formulas (AR)

- $\text{AR Turnover} = \text{Credit Sales} \div \text{Average Trade Receivables}$
- $\text{DSO (collection period)} = (\text{Average Trade Receivables} \div \text{Credit Sales}) \times 365$
- If you don't separate credit sales, use total revenue as a rough proxy.

Worked example

Example: Credit sales = EGP 1,200,000 | Avg AR = EGP 200,000 → Turnover = **6×** | DSO ≈ **61 days**.

Meaning: you wait ~2 months to get paid. If suppliers want cash faster, you'll feel constant pressure.

How to improve collection

- Write credit terms clearly on every invoice (due date + payment link).
- Invoice immediately on delivery and confirm receipt.
- Use deposits for new wholesale customers (e.g., 50% upfront).
- Run a weekly AR routine: aging report + follow-up schedule.

Red flags

- DSO rising month after month (cash getting trapped).
- AR growing faster than revenue (collection discipline weak).
- One customer is 30%+ of AR (concentration risk).

Payables: how long you take to pay suppliers

Payables are supplier financing. Use AP strategically without damaging trust or supply.

Payables formulas (AP)

- AP Turnover = Purchases (or COGS) ÷ Average Trade Payables
- DPO (payment period) = (Average Trade Payables ÷ Purchases or COGS) × 365

Worked example

Example: COGS = EGP 900,000 | Avg AP = EGP 150,000 → Turnover = **6×** | DPO ≈ **61 days**.

Meaning: you pay in ~2 months. Align this with DSO so you're not funding the whole cycle from your pocket.

When to extend or shorten DPO

- **Extend (longer DPO)** when you are growing, inventory is rising, and you have reliable suppliers. Negotiate Net 30/45/60 with clear payment dates.
- **Shorten (pay faster)** when you need priority production slots, better quality control, or you are in peak season and cannot risk delays.
- **Never** extend DPO by ghosting suppliers. That is not strategy; that is burning bridges.

How to get better terms

Negotiation levers: consistent reorder volume, split payments (deposit + balance), and predictable pay dates.

Inventory turnover: how fast stock moves

Inventory turnover shows how many times inventory cycles. Slow stock becomes discounts and dead cash.

Inventory formulas

- Inventory Turnover = $\text{COGS} \div \text{Average Inventory}$
- DIO (days inventory on hand) = $365 \div \text{Inventory Turnover}$

Worked example

Example: COGS = EGP 900,000 | Avg Inventory = EGP 300,000 → Turnover = **3×** | DIO ≈ **122** days.

How to improve inventory turnover

- Cut SKU count. Fewer, stronger SKUs beat a wide catalog with weak sellers.
- Use a test drop (small batch) then reorder winners fast (data > opinions).
- Plan around seasons: don't overbuy winter stock late; don't underbuy basics that sell all year.
- Track sell-through per SKU and size. Kill sizes that don't move; reorder sizes that do.
- Create an exit plan for slow movers (bundles, limited promos) before they become dead stock.

Bonus

Cash conversion cycle: $\text{CCC} \approx \text{DIO} + \text{DSO} - \text{DPO}$. Lower means less cash trapped.